

SENTIENT ADVISORY

Prepared for Nickel Digital

Tokenized Equity Long/Short

Fundamental Relative Value

Own the AI supply chain · beta-neutral, alpha not beta · Nickel DAL-compliant

Research backtest over a single ~3-year AI-bull regime — illustrative, not out-of-sample validated, and not an offer or performance representation. · 2026-06-16

Own the companies that SELL the AI buildout — hedged, inside a hard DD cap

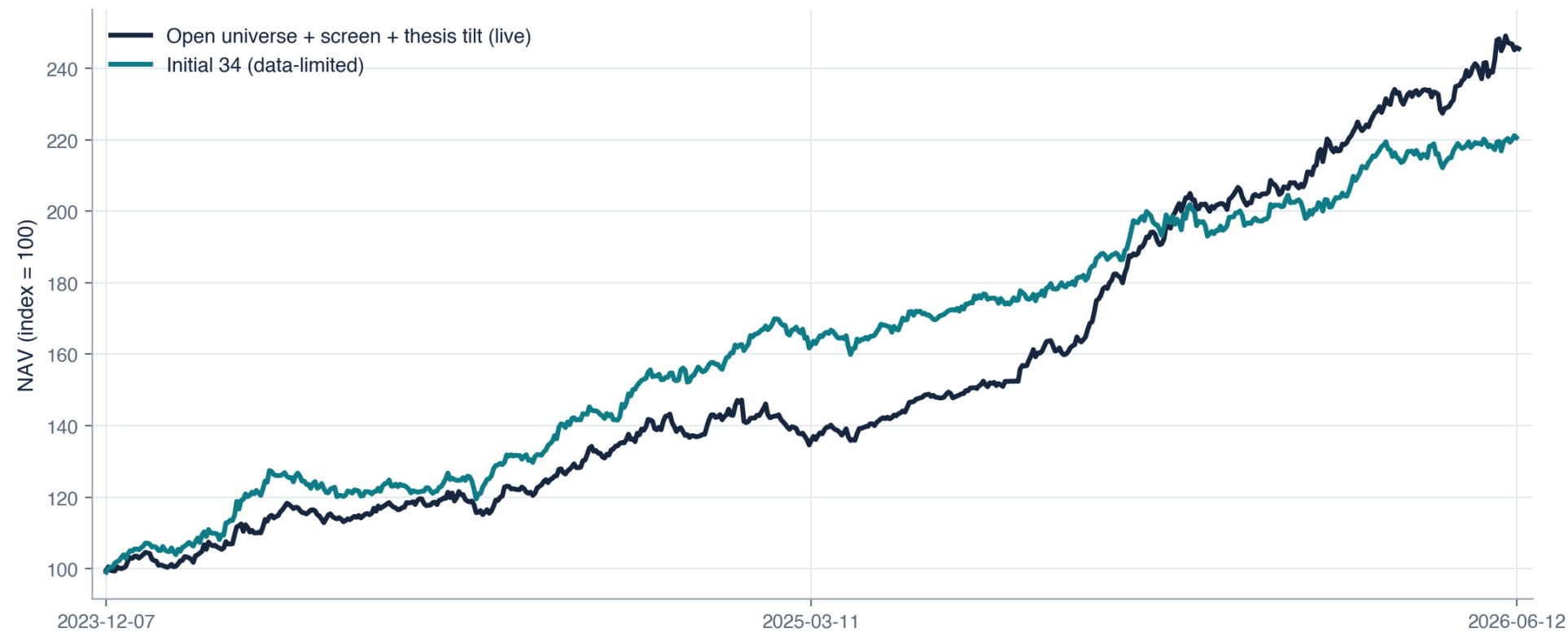
- **Open universe** Every tradeable tokenized US-equity perp on Binance, plus new listings as they're discovered, screened to the investable set. Not a hand-picked list — it scales as the platform lists more names.
- **The edge** Systematically own the AI supply chain that's beating earnings (analyst EPS surprise), confirmed by momentum, a valuation tilt and a picks-&-shovels thesis tilt — the quant version of how the AI-frontier crossover funds (Coatue / Altimeter / Tiger / SAA) pick longs.
- **Picks-and-shovels** Own the suppliers that RECEIVE the capex; exclude the hyperscalers that SPEND it. Validated by Coatue: 'sellers of the shortage' +107% YTD vs the capex 'buyers' +4%.
- **Hedged, beta-neutral** QQQ + SOXL neutralize the market and the AI-compute factor — ~95% of the return is selection alpha, not beta.
- **Hard drawdown cap** A 20%-NAV hard stop, auto-enforced — the discipline the net-long peer cohort lacked (they ran -40% to -56% in 2022).

How the signal works, operationally

score = 1.0·z(EPS surprise) + 0.5·z(momentum) + 0.5·z(cheap P/E) + 2.0·z(AI-supply thesis) + 0.5·z(EPS revisions) → long the top ~25

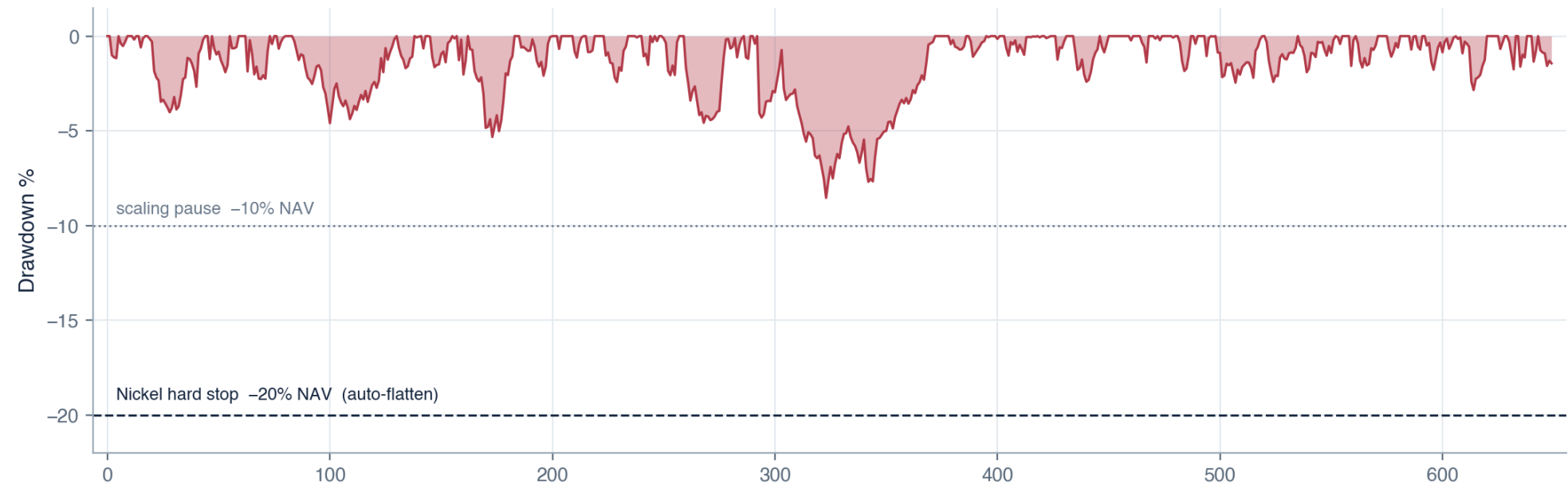
- **Open → screen → signal** A profitability-AGNOSTIC investability screen (analyst coverage + revenue) keeps unprofitable hypergrowth winners (CoreWeave, Rocket Lab) and drops speculative shells. The signal orders within the screened set — it is not a universe builder (naive breadth tanks the book to ~1.6 Sharpe).
- **Beat and raise** EPS surprise (the beat) is new information each quarter and ADDS to momentum; the estimate-revisions leg (the raise) is live on a research overlay.
- **Thesis tilt** Systematically captures the supply-chain bet — it does nothing on an all-supplier set, proof it isn't a generic booster.
- **Construction** Top ~25 longs, diversified across 6 sectors, per-name capped; QQQ+SOXL min-variance hedge; beta-neutral.
- **Sizing (Nickel DAL)** Notional = 2× NAV; gross ≤ 200%; net clamped to a 25% target (a buffer below the ±30% cap, since positions drift between rebalances); vol-target 6%; maker TWAP, ~1× turnover.

Smooth compounding within the drawdown budget



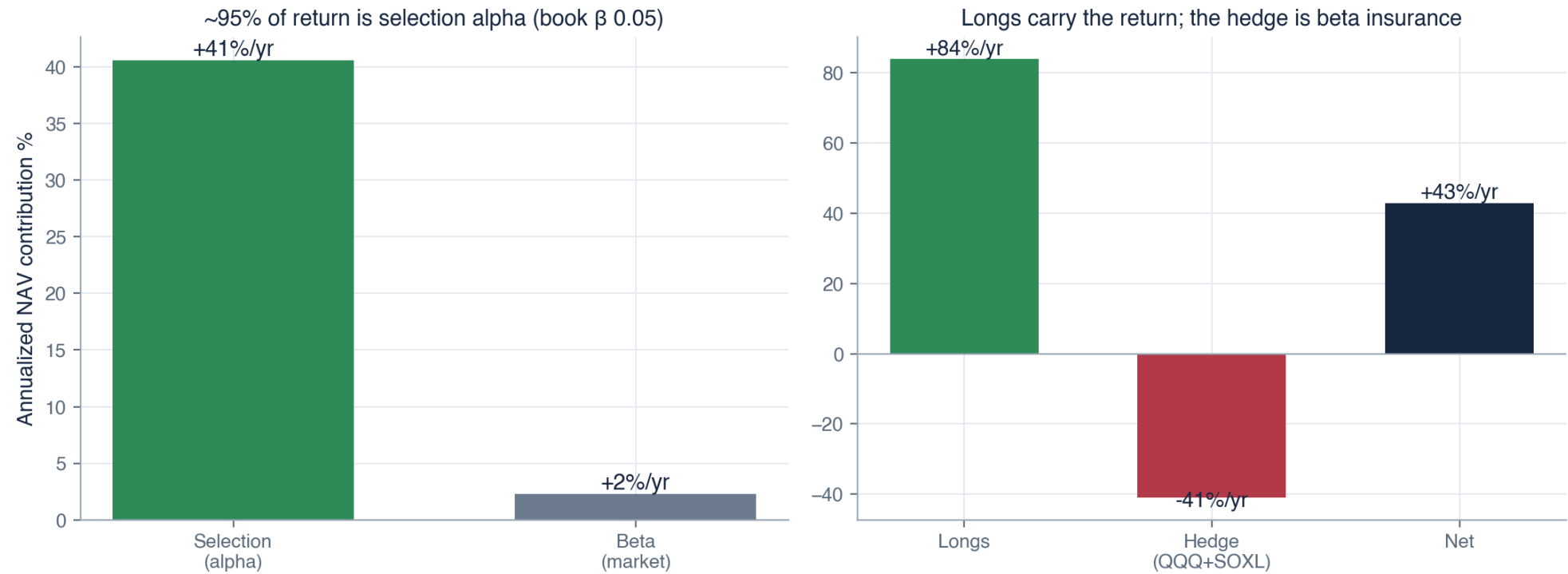
Source: Sentient Equity-RV production harness, ~2.5y, maker cost. One AI-bull regime — illustrative, not out-of-sample validated.

Drawdown stays well inside Nickel's 20% NAV hard stop



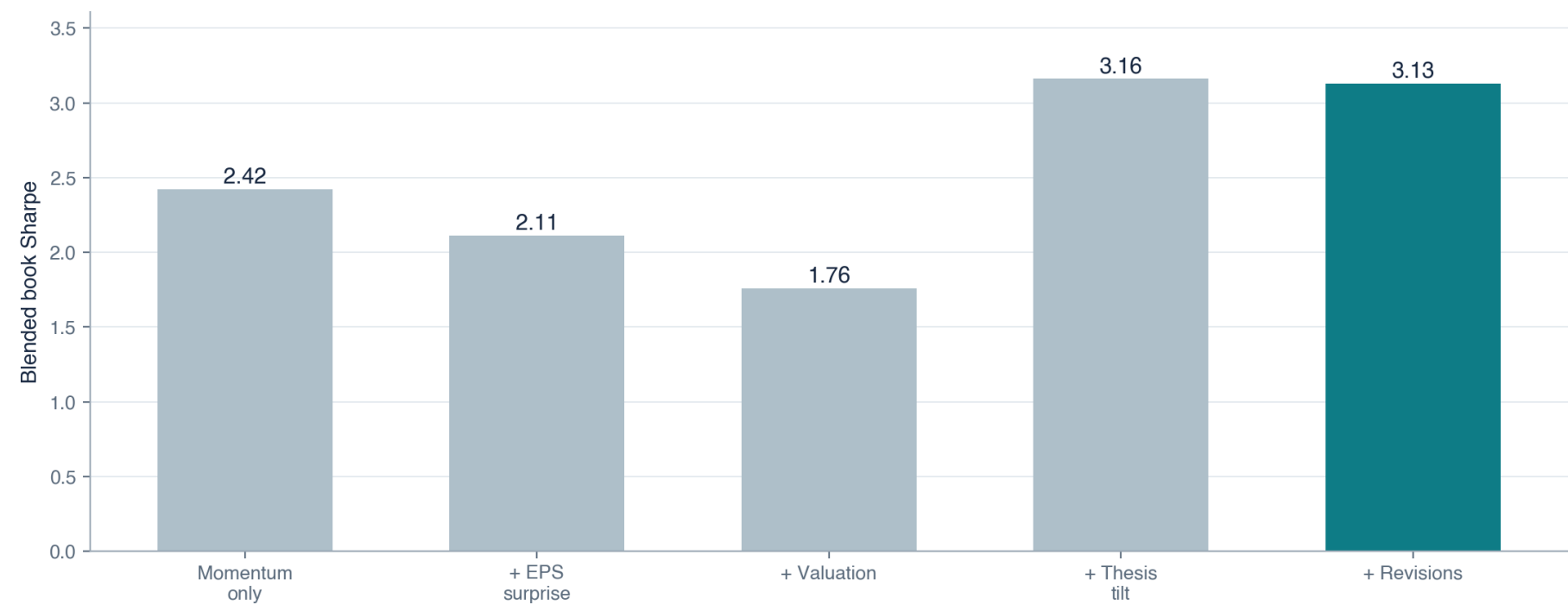
Source: production harness, NAV basis. Peak drawdown -9% vs the 20% hard stop; the de-risk ladder cuts gross before the stop.

The return is alpha, not levered beta



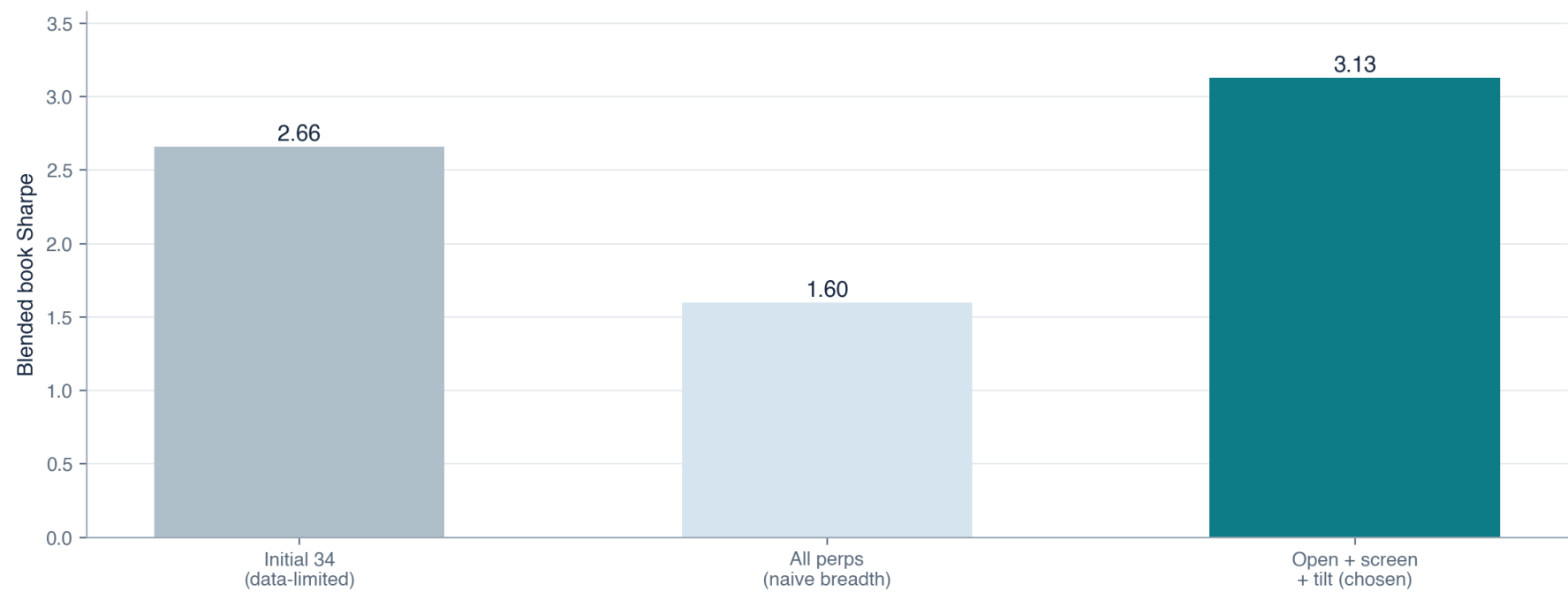
The distinction vs the net-long peer cohort (~0.99 beta to the S&P): our return survives the hedge because it is selection alpha. Book daily return regressed on SPY; legs from realized P&L, annualized.

Each signal leg earns its place — a stacked edge, not a kitchen sink



Source: production harness, open universe, LIVE cumulative leg build-up. EPS-surprise (beat) + cheap valuation + the picks-&-shovels thesis tilt + estimate-revisions (raise) each lift a momentum book; growth / quality-as-a-screen were tested and dropped.

Full-universe data coverage — never hand-curated



The initial 34 was the subset with point-in-time fundamentals (a data-coverage limit, not stock-picking). Free yfinance EPS-surprise (= AlphaVantage quality) + Binance discovery extended the SAME process to every perp — auto-finding SK Hynix / Samsung / Dell.

External validation: Coatue's 'sellers of the shortage'

- Coatue (a \$20B+ AI-frontier crossover fund) published our exact split — the market rewards the SELLERS of the shortage, not the buyers:
- **Sellers · +107% YTD** Semis / memory / optics — pricing power, fixed cost base, big EPS revisions. = our long universe (NVDA, AVGO, MRVL, MU, TSM, SK Hynix, WDC, SanDisk, Coherent, Lumentum...).
- **Buyers · +4% YTD** Hyperscalers — high capex, returns over years, modest revisions. = exactly our excluded spenders (Amazon, Google, Meta, Oracle, Microsoft).
- **Their cited driver** 'Big EPS revisions' — which IS our signal: the beat, plus the live raise.

We track the AI-frontier smart money's full books

- We pull the FULL 13F books of 15 crossover funds that backed the private AI frontier (SpaceX / OpenAI / Anthropic) and also file 13Fs — Coatue, Altimeter, Tiger, Dragoneer, D1, Appaloosa, Whale Rock, Sands, Baillie Gifford, Viking, ARK, Duquesne, Light Street, Atreides, Situational Awareness.
- **Consensus (tradeable now)** Names many hold that we can trade — AMZN / NVDA (13 funds), TSM / GOOGL (11), AVGO / META (10), CoreWeave, Micron, Lumentum...
- **Watch-when-listed** Heavy smart-money names with no perp yet (Lam Research, Celestica, AppLovin) — we onboard the day Binance lists them. Full books future-proof an expanding tradeable universe.
- **Crowded-risk flag** Our 13F tracker confirmed SAA's ~\$8.5B of chip puts — a risk read on our largest exposures, surfaced automatically. Cross-check and idea generation, not a mechanical selection input.

Data-complete universe vs the data-limited subset — clears Nickel's gates

Metric (NAV basis)	Open universe (live)	Initial 34 (data-ltd)	Nickel DAL gate
Annualized return	+42%	+36%	—
Max drawdown	-10%	-7%	> -20% (hard stop)
Sharpe	3.13	2.66	—
Sortino	4.86	4.35	—
Selection alpha share	~95%	—	the edge, not beta
Net beta	0.00	+0.10	beta-neutral
Net / Gross notional	25% / 67%	—	25% target / 30% cap

Honest read: in-sample, one AI-bull regime, conviction-weighted thesis tilt — expect materially less out-of-sample. The estimate-revisions leg is the path to widen the edge on alpha, not concentration.

Institutional risk controls, enforced in-engine

- **Sizing (DAL)** Gross $\leq 200\%$ notional, vol-target 6%; net clamped to a 25% target — a buffer below the $\pm 30\%$ cap (positions drift) — with a live re-clamp before the cap. Beta-neutral.
- **Drawdown control** De-risk ladder cuts gross at 3 / 5 / 8% notional DD; the 10%-notional / 20%-NAV hard stop auto-flattens. The forward loop enforces it continuously, daily — not just at rebalance.
- **Regime monitor** Leading maturity signals (spread, revisions, layer rotation, 13F, ASP) $\rightarrow$ GREEN / AMBER / RED with a de-risk playbook.
- **State persistence** HWM survives restarts (the stop never silently resets); at cutover the book inherits the account's used drawdown and starts de-grossed.
- **Execution safety** ADL / liquidity caps ($\leq$ % of 24h volume; watch the deleverage quantile); a read-positions-first sanity gate that clamps per-order growth (no doubling).
- **Alerting** Telegram on every rebalance / gate-pause / DD / net-notional / regime event, via a dedicated bot.

We deliberately give up beta — and the drawdown that comes with it

Fund	2024 / 2025	Net exposure	2022 drawdown
Light Street	+59% / +37%	net long	−54%
Whale Rock	+51% / +27%	net long	−43%
Tiger Global	+24%	high net long	−56%
Coatue	+19%	actively hedged	−19%
Viking (most hedged)	+8.6%	~40% net	best-defended
THIS strategy	~+42%/yr (1 regime)	beta-neutral	-10% (hard-capped −20%)

Cohort beta ~0.99 to the S&P, ~4.2% alpha — 80–90% of the peer headline is net-long BETA. Ours is hedged, beta-neutral selection alpha; and we track their actual 13F books to stay aligned.

Knowing when the trade matures — the regime monitor

- The AI-supply 'sellers of the shortage' trade won't last forever (Gavin Baker: 'the bottleneck trade is nearing its end').
- **Leading signals** Sellers-buyers spread + rate-of-change (Coatue's gauge), seller EPS-revisions (earliest to roll), layer leadership, smart-money 13F rotation, DRAM/NAND ASPs → a GREEN / AMBER / RED state + de-risk playbook.
- **Largely self-correcting** As revisions roll and momentum fades, the signal legs rotate those names out automatically; the monitor makes the turn visible early.
- **The response** AMBER — trim cyclical memory, lift the operator/power layer ('follow the gigawatts'), raise the hedge. RED — DD-ladder de-gross, rotate to operators + durable franchises, max hedge.
- **Now: GREEN** spread +91pp (3mo), pace 34→24 pp/mo; seller revisions +7.2; bid still on the accelerator.

Honest caveats and the path to live

- **One regime** A ~2.5y AI bull; a correction is the untested case — the hedge + hard cap are built for it.
- **In-sample** Conviction-weighted thesis tilt → expect materially less out-of-sample; we report the conservative read.
- **The raise is live** Estimate-revisions leg on a research overlay; a paid estimates feed would add clean point-in-time revision history + the up/down counts free data can't provide (a nice-to-have, not a blocker).
- **Capacity scales** The open universe auto-onboards new tokenized listings as RWA liquidity grows.
- **Ready** Open-universe pipeline (refreshable), production PMS, risk spine (net-notional buffer + regime monitor), 13F tracker, dedicated alerting.
- **Path to live** Short shakedown → flatten crypto → MODE=live (inherit account DD) → scale on the ladder.